

Large asset owners give up illiquidity premiums by sheepishly tracking standard indexes. When indexes change their constituents, asset owners demand liquidity as they are forced to follow these changes. Index inclusion and exclusion induce price effects of 3% to 5%, and these effects have become stronger in more recent data.⁴⁰ Large asset owners should be collecting index reconstitution premiums instead of paying them. They can do this by using their own proprietary benchmarks. Candidate indexes could emphasize illiquidity security characteristics but more generally would be built around harvesting factor risk premiums (see chapter 14). Even an index without illiquidity tilts allows asset owners to harvest a liquidity premium collected from all the other investors forced to track standard indexes.

4.5. SUMMARY

Of all the four ways to collect an illiquidity premium: (i) holding passive allocations to illiquid asset classes, (ii) holding less liquid securities within asset classes, (iii) market making at the individual security level, and (iv) dynamic rebalancing at the aggregate level; the last of these is simplest to implement and has the greatest impact on portfolio returns.

5. Portfolio Choice with Illiquid Assets

In deciding on how much of their portfolios to devote to illiquid assets, investors face many considerations specific to their own circumstances. Investors have different horizons. Illiquid markets don't have tradeable indices, so investors have to find talented active portfolio managers. Then they face agency issues and evaluating and monitoring portfolio managers requires skill. Thus the premium for bearing illiquidity risk might be individual-specific. Computing these illiquidity premiums requires asset allocation models with liquid and illiquid assets. These models also prescribe an optimal amount of illiquid assets to hold.

Practitioners generally use one-period investment models—usually the restrictive Markowitz (1952) mean-variance model with ad hoc adjustments (yes, most of the industry is still using models from the 1950s; see chapter 3)—which are inappropriate for illiquid asset investing. The fact that you cannot trade an illiquid asset now but will do so in the future makes illiquid asset investing a dynamic, long-horizon problem. There are two important aspects of illiquidity—large transaction costs and long times between trading—that have been captured in portfolio choice models with illiquid assets.⁴¹

⁴⁰ See chapter 15 and the literature on index reconstitution effects summarized by Ang, Goetzmann, and Schaeffer (2011).

⁴¹ Parts of this are based on Ang (2011) and Ang and Sorensen (2012).